

Fearnleys Tanker Market Wrap-up May 2026

May 28, 2026

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"Imminent"

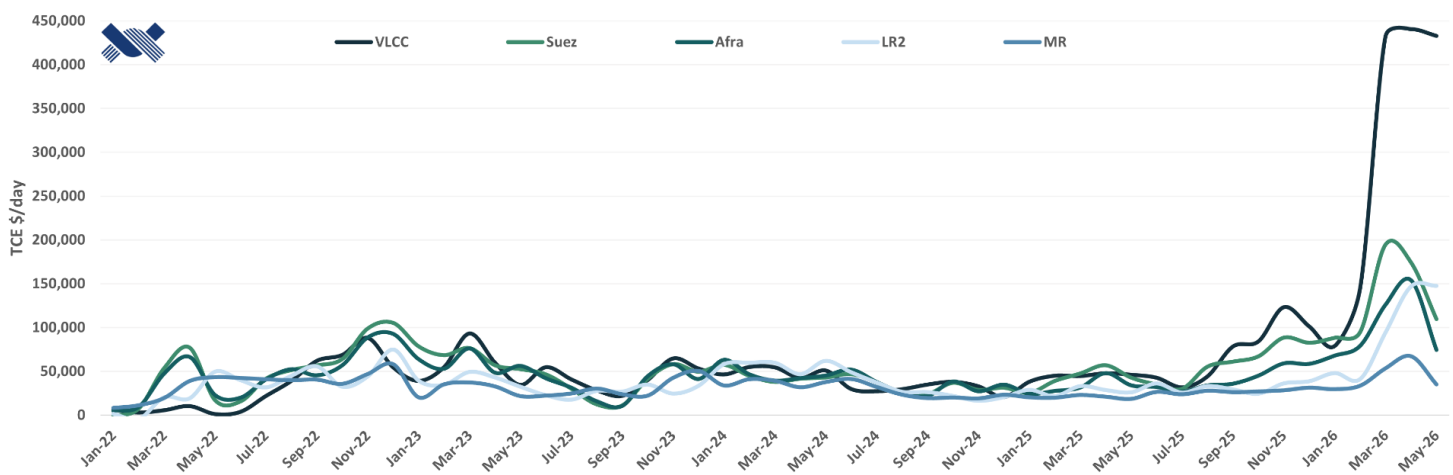
Summary and outlook

While we wait... for the on-again, off-again 'imminent' U.S.-Iran deal, it looks like the impact of lower volumes has started to have a greater impact on the tanker market balance and rates, with a steady slide for nearly all segments over the last month. More of the same may be expected until a deal is actually signed.

However, the crisis has also contributed to materially lifting the tanker demand outlook for the next year(s), with oil supply growth estimates having been revised sharply higher. While perhaps not fully enough to offset higher fleet growth the coming two years, the 2027 tanker market outlook is brighter than earlier feared.

Unless there is no deal. So we wait some more...

Monthly average rates



Source: Fearnleys, Baltic Exchange

Some re-opening thoughts

Although 'sources' continuously claim a deal is near, full details and any timeline is still up in the air, and there are renewed attacks. A few more transits recently could be indicative of a step toward reopening. Some observations can be made for what might be expected for the tanker market if or when the Hormuz Strait does indeed open:

- This could be very bullish for LR2s in the East, after most have moved into dirty and West.
- To start, the academic TD3c assessment could drop closer to rates in other areas if the risk premium disappears. However, rates in other areas may strengthen too.
- Oil traders etc. are likely to actively source discounted MEG cargoes which may give an initial fixing rush. With a balanced to thin MEG position list, this could again send rates higher.
- A MEG risk premium could, however, remain, if Iran retains control of transits. There is also the issue of whether there are still mines in the strait.
- Lower oil prices may entice Asian buyers to be active in both basins to shore up inventories.
- After an initial fixing rush basis emptying of MEG inventories etc., the fixing pace may slow if production and Hormuz flow take time to normalise.
- Later, activity and rates may gradually strengthen as production ramps up, including the UAE at 'free flow', the latest OPEC+ production target increasing, and possibly some catch-up to under-production the last few months.
- 2027 oil supply growth may be materially higher than previously anticipated.

•Should this open for Iran sanctions to be lifted down the line, it could be a further boost to tanker demand - shifting parts of Iran's 1.5-2 mbpd onto the compliant fleet, and eventually 0.5-1 mbpd of further production ramp-up. 20+ NITC VLCCs are young enough to continue trading, and there are another 30+ sanctioned/shadow VLCCs that can too. These 50+ vessels should be able to continue lifting at least 1.5 mbpd of crude, provided that receivers allow so.

Increased oil supply outlook

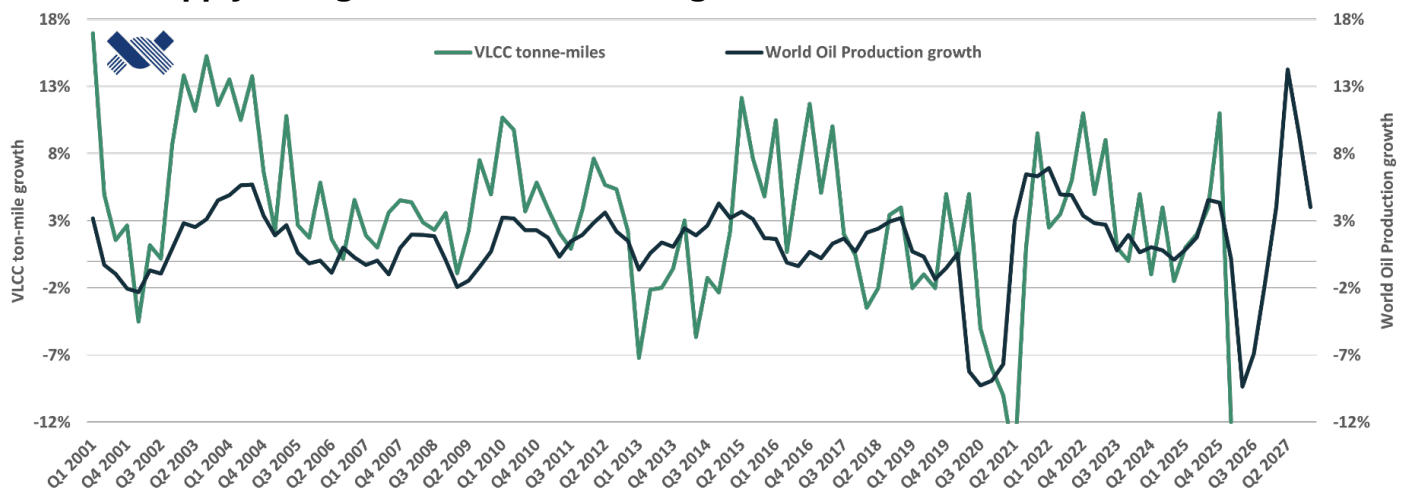
In the wake of the current crisis comes an improved oil supply and by extension tanker demand outlook. While it may take a while for full production in a re-opening scenario to be restored, there are some key triggers to the upside:

- Venezuelan output has already increased slightly more than some cautious estimates suggested - with exports up to about 1.2 mbpd in May.
- The UAE has stepped out of the OPEC+, allowing for up to 1 mbpd of potential upside.
- The OPEC+ keeps unwinding production cuts, and may overproduce after a re-opening to catch up with underproduction in recent months.
- U.S. shale activity has increased, and production forecasts have been lifted.
- A potential peace agreement between the U.S. and Iran may likely include lifting of sanctions, which could shift some volumes to the compliant fleet - and leave some gradual production upside.

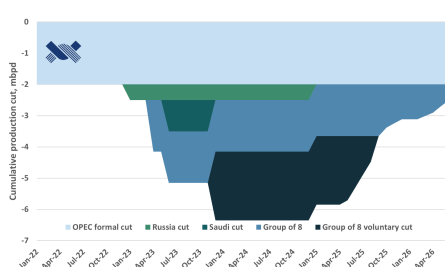
Based on the latest EIA estimates, oil supply growth next year, assuming gradual Hormuz normalisation after Q2 this year, could be very high, reaching nearly 2.5 mbpd higher than the previous peak in Q4'25 during Q4'27. The latest EIA estimate has been revised 2 mbpd higher than four months ago. However, the same estimates still show Q4'26 nearly 2 mbpd shy of the end of 2025.

These estimate revisions indicate some 5% or more tonne-mile growth potential by Q4'27 vs. Q4'25 - substantially above previous expectations.

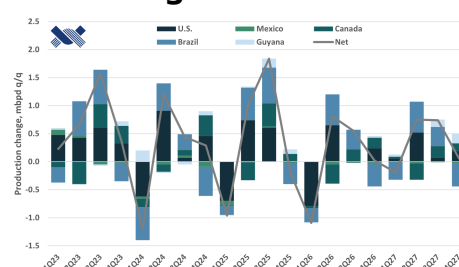
Global oil supply change vs. tanker demand growth



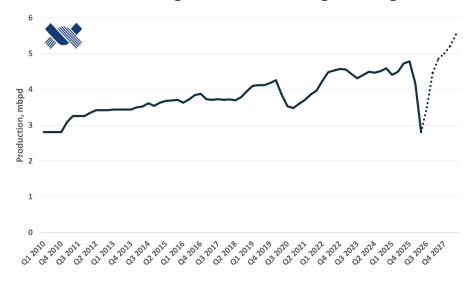
OPEC+ production cut unwind continues



Americas supply estimates revised higher



UAE with up to 1 mbpd upside



Source: Fearnleys, Vortexa, EIA, IEA, OPEC

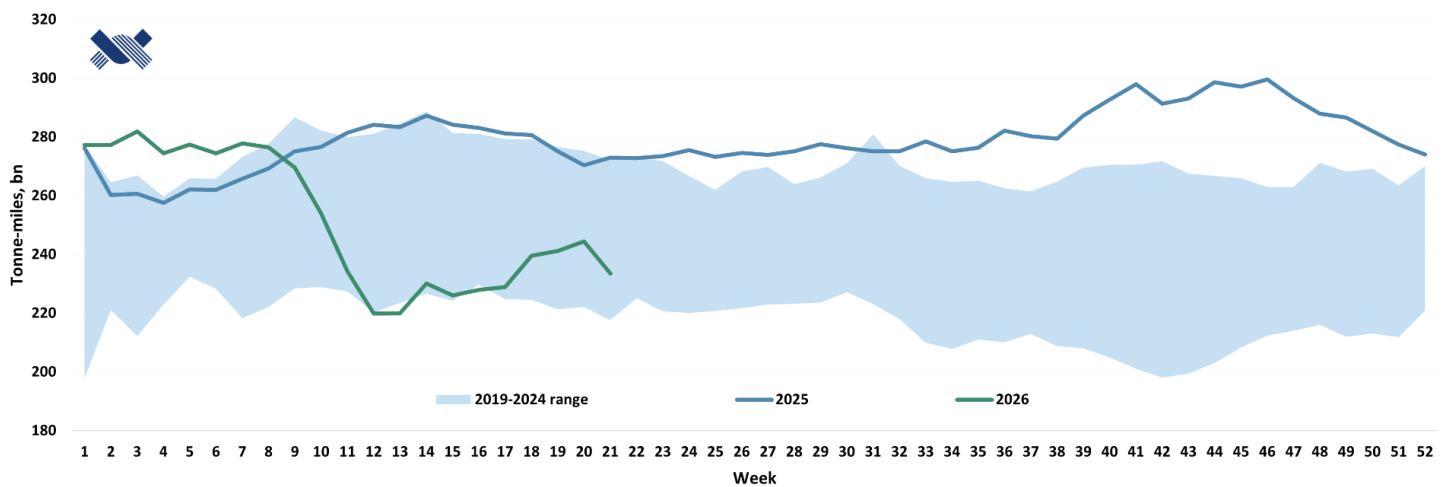
Demand still low, although recovered somewhat. Overweight of Atlantic ballasters

After some recovery on more long-haul fixtures, tonne-mile demand has dipped again most recently for all segments. This has come after a slight decline in loadings, following a brief up-trend just prior. Overall volumes should gradually rise going forward, and tonne-mile demand should remain around recent levels going forward, supported particularly by high Americas export - provided that U.S. inventory draws do not halt.

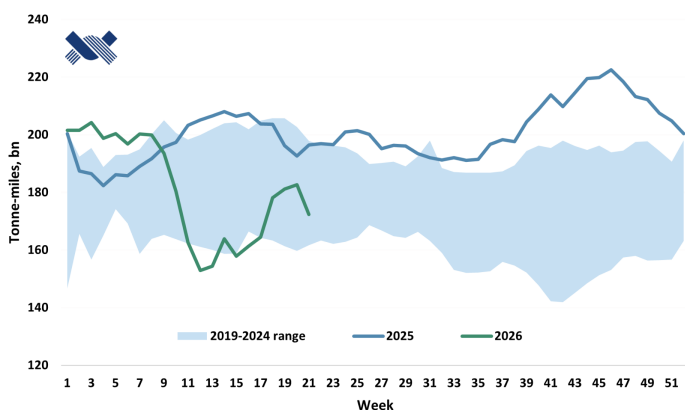
VLCC demand remains weakest across the tanker segments, due to the outsized share of MEG exports. The VLCC market has been somewhat balanced by idle/stuck tonnage, but gravity does work eventually. Suez and Afra/LR2 demand has held up relatively better than the other segments, but also here demand is notably lower than at the beginning of the year, as VLCC competition in the Atlantic has taken hold.

MRs were for some time supported by leftover volume from the LR2s which switched to dirty and ballasted West. However, the incentive to dirty up further is no longer there, so there may instead be some switching back going forward. CPP volumes have declined too, and there are less long-haul arbitrages which together have impacted product tanker and MR demand negatively. Unless the Hormuz Strait or long-haul arbitrages reopen, there could be some continued pressure for clean rates.

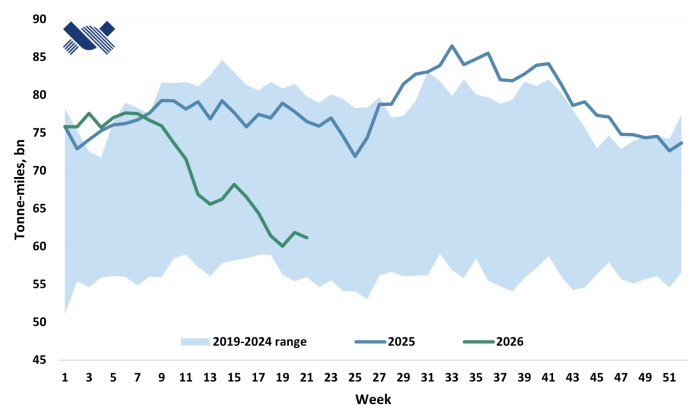
Weekly tanker tonne-mile demand



Weekly crude tanker tonne-mile demand

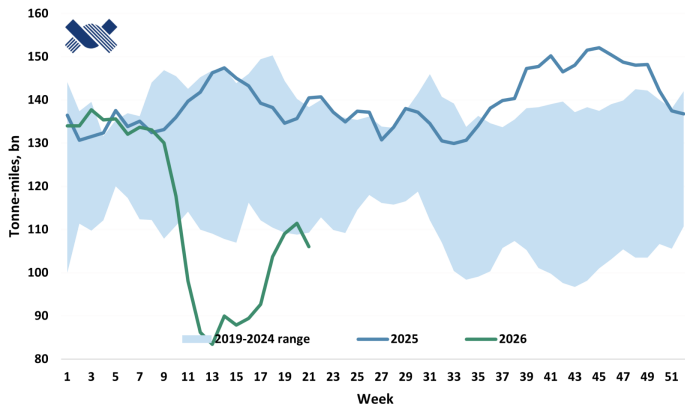


Weekly product tanker tonne-mile demand

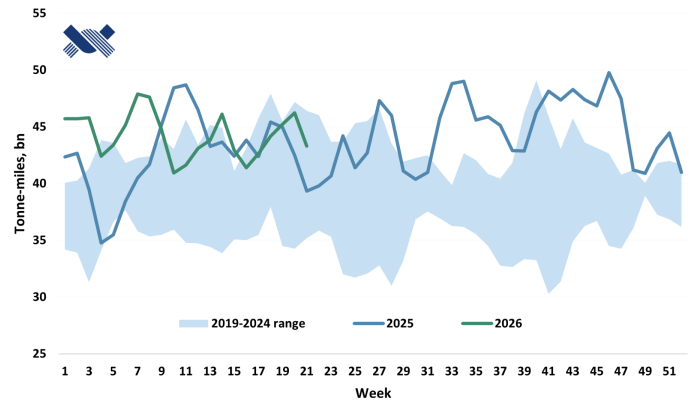




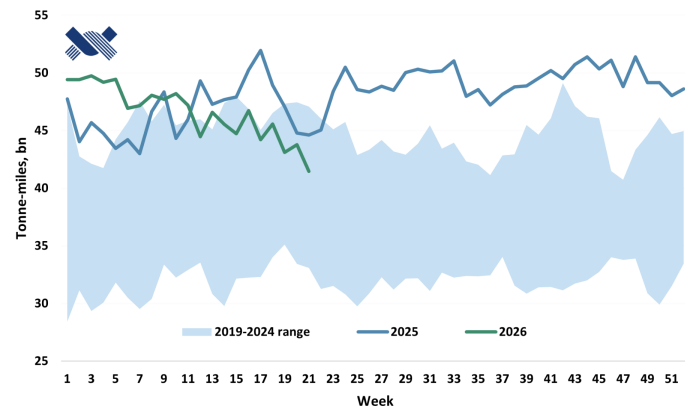
Weekly VLCC tonne-mile demand



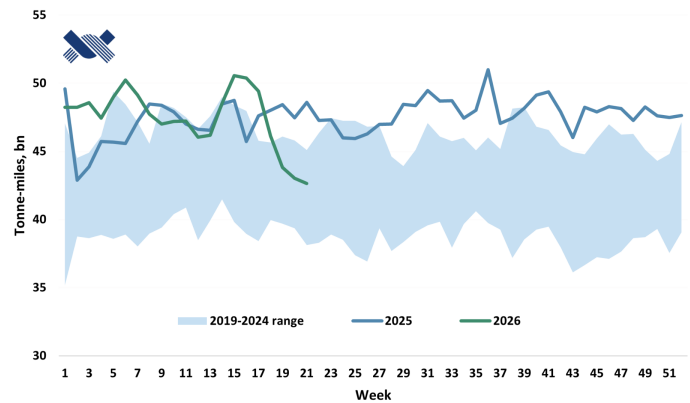
Weekly Suezmax tonne-mile demand



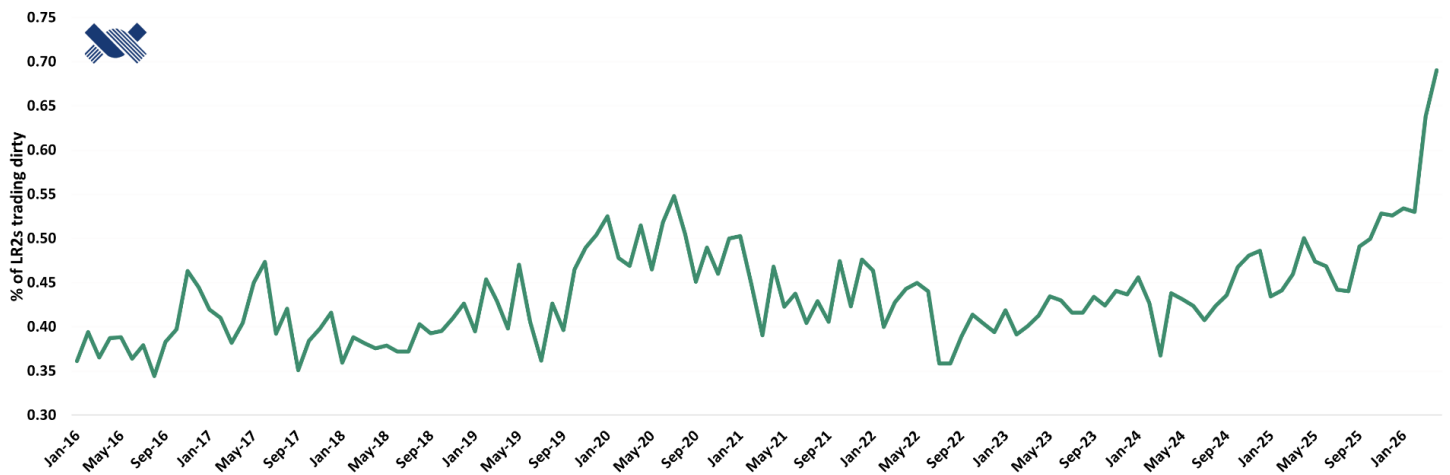
Weekly Aframax/LR2 tonne-mile demand



Weekly MR tonne-mile demand



Share of LR2s trading dirty

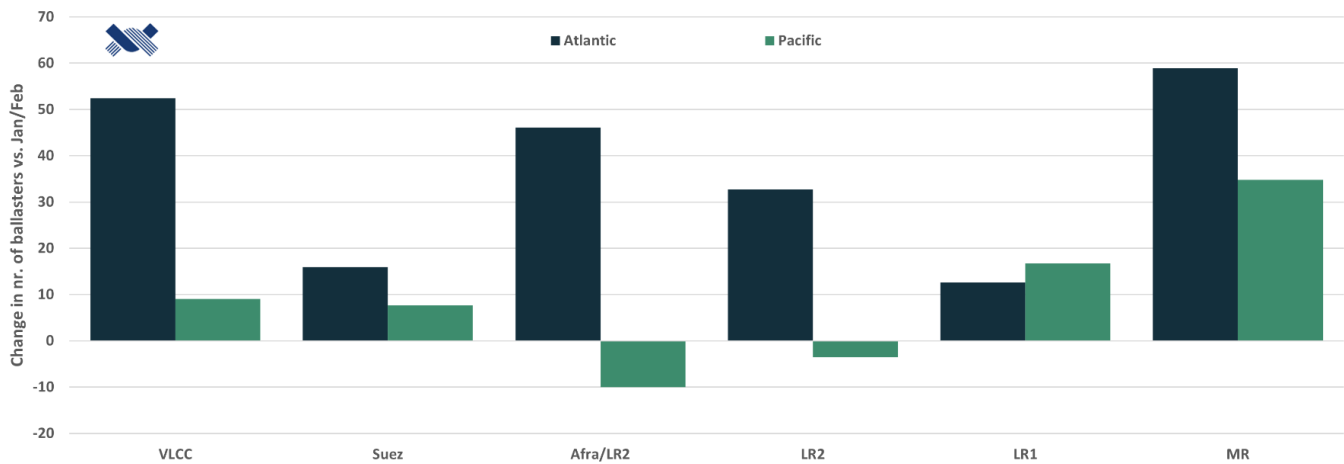


Source: Fearnleys, Vortexa

There is still an overhang of ballast in or heading to the Atlantic basin vs. pre-war levels - leaving pressure on rates despite higher cargo volume in the area too.

The ballast count in the Pacific, however, is more in line with the pre-war level, and for Aframax/LR2 it is quite a bit lower. Hence, should there be a re-opening of the Hormuz Strait relatively soon, with a corresponding fixture rush, rates may spike.

Change in number of ballasters vs. Jan/Feb average



Source: Fearnleys, Vortexa

Oil market balances

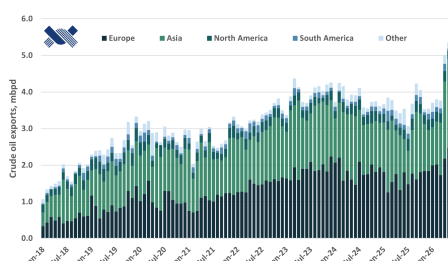
There are two major sources contributing to a better balanced oil market than most had feared by now, high U.S. exports and low Chinese imports. There are of course other factors too, including some demand response, particularly in the petrochemical industry, refinery yield optimisation, use of alternative energy sources including coal to liquids in China, etc.

The world's largest producer, the U.S., has ramped up exports substantially. This is partly due to large inventory draws - both SPR and commercial. The latter could become a concern for tanker demand going forward, as draws at recent pace is unsustainable and should eventually be supportive for WTI pricing. This may in turn be unsupportive for export economics. However, current commercial crude oil inventory levels are still nearly 100 mb above the 2010-14 average - the last time oil prices were around current levels.

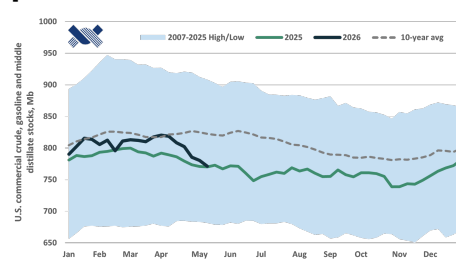
There has now been an uptick in U.S. onshore activity with rig counts picking up the last few weeks, and shale production growth projections have in turn been lifted. However, that is more likely to affect 2027 export volume potential than the near-term. That may be needed, as the SPR releases are structured as loans, to be refilled at 1.2x the current draws over the next two years.

The U.S. Gulf has become an increasingly important source for European gasoil (and partly jet) demand as availability from the MEG has shrunk and East-West arbitrage only sporadically working. The longer hauls from the U.S. Gulf are no longer as attractive as during the early stages of the war, also as shortages in the East are not as acute as initially feared. This in turn has been partly helped by China.

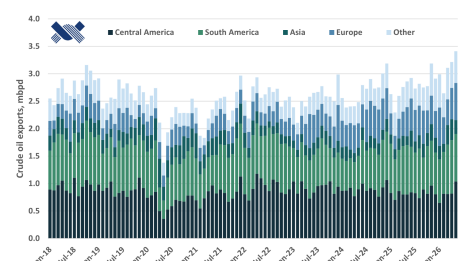
U.S. Gulf crude oil exports by destination



U.S. commercial crude & main product stocks



U.S. CPP exports by destination



Source: Vortexa, EIA

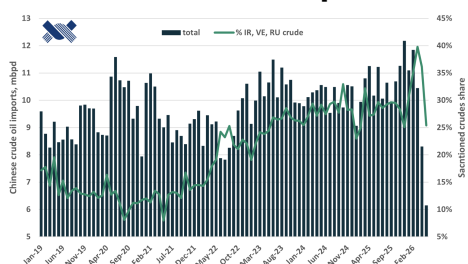
The world's largest importer, China, has reduced crude oil imports materially - May to date has been more than 5 mbpd lower than January and February, which along with Chinese reselling of crude has given some breathing room for crude pricing. The apparently reduced appetite has been partly driven by lower refinery runs, which in April were the lowest since August 2022, and could slide further in May.

Inventory trackers show that Chinese inventories have hardly moved, but it is open for question whether there have been draws from caverns etc. which are more difficult to track, since the numbers otherwise do not add up (imports are now down 5 mbpd, refinery runs down 2 mbpd and apparent oil products demand down 3 mbpd, including petrochemical). Unless there is a more pronounced demand response, that is unsustainable.

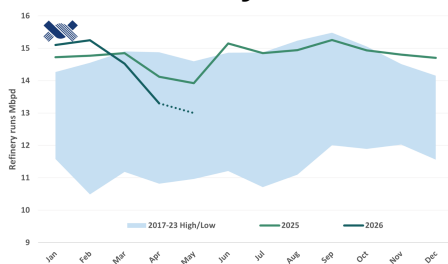
Therefore, Chinese refiners likely have to either be allowed to materially tap into inventories, or more crude buying should re-emerge. According to Argus, reselling has now stopped, and there has been some renewed buying from Brazil and West Africa for July delivery after differentials eased. However, the pace remains much lower than normal, allowing other Asian buyers to step in and alleviate shortages. Should Chinese buyers step back in, there could be some more competition for Atlantic grades and upside for Atlantic-East flow again.

Contrary to what earlier product export bans would suggest, there has not been a drastic decline in Chinese products exports the last two months, which may be one of the reasons why Asian product prices have eased, and some long-haul import arbitrages are no longer there.

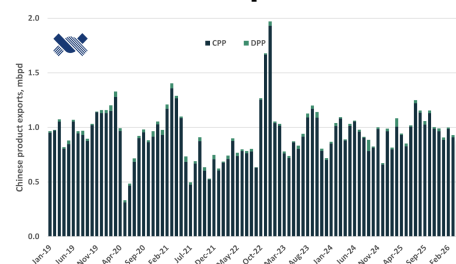
Chinese crude oil imports



Chinese refinery runs



Chinese CPP exports



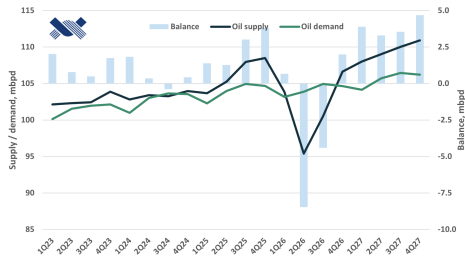
Source: Vortexa, Argus

So far global observed inventories have declined less than feared, due to an oversupplied market going into this, some demand optimisation, slight production increases from other areas and slightly higher flow through the Hormuz Strait than meets the eye. There could however be some slightly bigger draws ahead unless the Hormuz reopens. Otherwise, it is only a few more months before global inventories are closer to operational constraints.

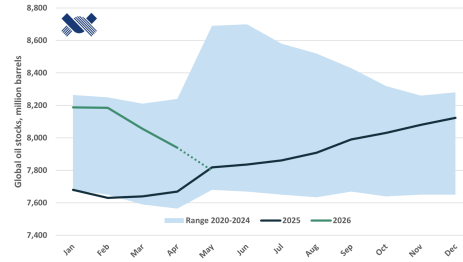
The biggest (OECD) draws so far have been for products, as underlying consumption has not budged much. This may lend support for product prices going forward, also after a potential reopening, which should be supportive of high refinery runs and in turn product tanker demand in the medium term.

A stock rebuild over the next few years may be an oil and tanker demand tailwind in coming years.

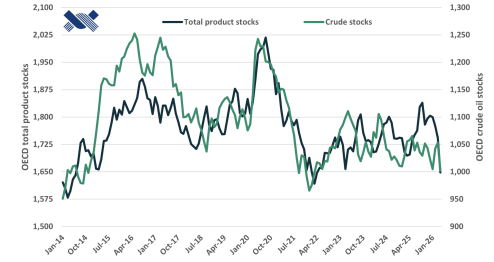
EIA oil market balance



Global observed inventories



OECD inventory split



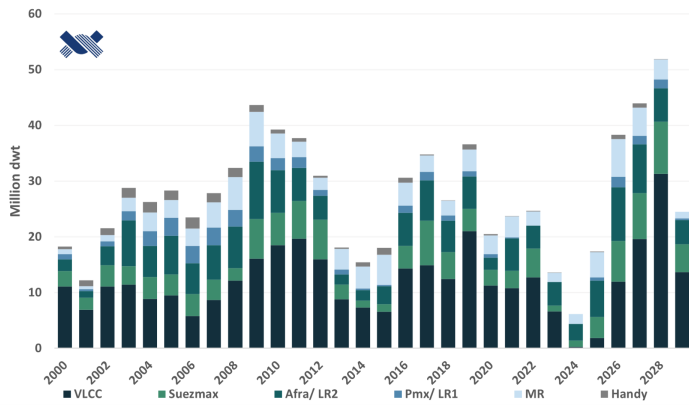
Source: EIA, IEA

Fleet growth and orders picking up

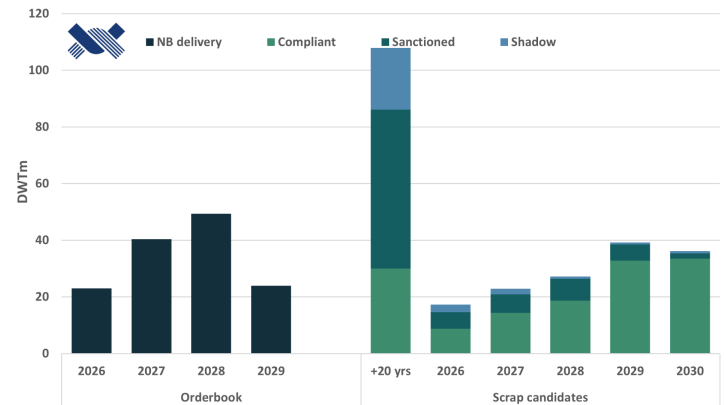
The orderbook has also grown in recent months. The relative value proposition for a newbuild vs. secondhand is favourable - although secondhand values are also well justified by all-time-high TC rates. Realistically, with reported but unconfirmed orders, the overall orderbook to fleet is closer to 25%, and closer to 30% for the biggest segments. This means gross fleet growth of 6-8% this and the next two years.

Unless sanctions are lifted there may still be a time-gap between deliveries of newbuilds (next two years) and the time when a larger share of the compliant fleet comes toward phase-out age. Given high rates any meaningful scrapping is unlikely near-term. The only near-term phase-out of compliant tonnage that may take place is if the U.S. blockade continues, and more arrests are made, so that the shadow fleet needs to be replenished. Thus far, between lower Iranian oil production and the existing sanctioned/shadow fleet there appears to be sufficient tonnage.

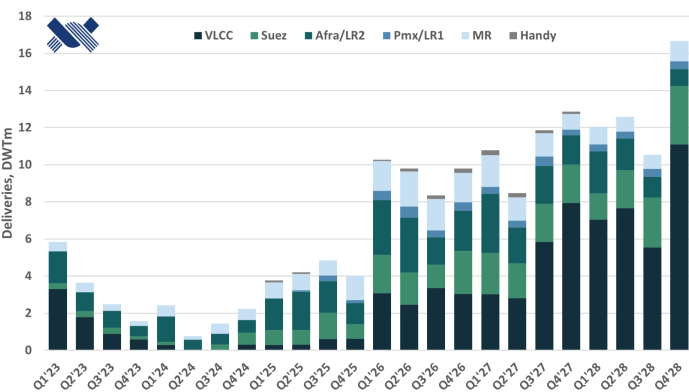
Annual tanker deliveries



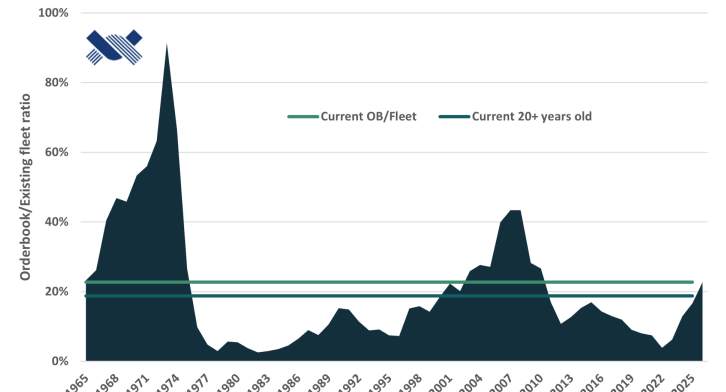
Tanker orderbook vs. phase-out potential



Quarterly tanker deliveries



Orderbook to fleet



Source: Fearnleys





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